

Industry ▾

910 Contractors—Construction

910 Contractors—Construction

10 Overall

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

910-10-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Contracts	Added	Accounting Standards Update No. 2014-09	05/28/2014
	Cost-Type Contracts	Added	Accounting Standards Update No. 2014-09	05/28/2014
	Lump-Sum Contract	Added	Accounting Standards Update No. 2014-06	03/14/2014
	Revenue	Added	Accounting Standards Update No. 2014-09	05/28/2014
	Time-and-Materials Contracts	Added	Accounting Standards Update No. 2014-09	05/28/2014
	Unit-Price Contracts	Added	Accounting Standards Update No. 2014-09	05/28/2014
	910-10-05-2	Amended	Maintenance Update 2019-01 	01/08/2019
	910-10-05-2	Amended	Accounting Standards Update No. 2014-09	05/28/2014
	910-10-15-4	Amended	Accounting Standards Update No. 2014-09	05/28/2014
	910-10-15-4	Amended	Accounting Standards Update No. 2014-06	03/14/2014
	910-10-35-1	Added	Maintenance Update 2019-01 	01/08/2019
	910-10-45-1 through 45-4	Added	Maintenance Update 2019-01 	01/08/2019

910-10-45-3	Superseded	Accounting Standards Update No. 2014-09	01/08/2019
910-10-50-1 through 50-7	Added	Maintenance Update 2019-01 	01/08/2019
910-10-60-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 910-10-05-1**

The Contractors—Construction Topic provides incremental industry-specific guidance on the application of generally accepted accounting principles (GAAP) in accounting for the performance of contracts for which specifications are provided by the customer for the construction of facilities or the production of goods or for the provision of related services.
- 910-10-05-2**

This Topic includes the following Subtopics:

 - a. Overall
 - b. Contract Costs
 - c. [Subparagraph superseded by Maintenance Update No. 2019-01.](#)
 - d. [Subparagraph superseded by Accounting Standards Update No. 2014-09.](#)
 - e. [Subparagraph superseded by Maintenance Update No. 2019-01.](#)
 - f. [Subparagraph superseded by Accounting Standards Update No. 2014-09.](#)
 - g. [Subparagraph superseded by Maintenance Update No. 2019-01.](#)
 - h. [Subparagraph superseded by Accounting Standards Update No. 2014-09.](#)
 - i. [Subparagraph superseded by Accounting Standards Update No. 2014-09.](#)
 - j. Consolidation.

10 Objectives

- i General Note:** The Objectives Section provides the high-level objectives that the Subtopic is intended to accomplish or attain. The Section does not summarize or discuss the main principles of accounting and reporting requirements.

General

- 910-10-10-1** The objective of this Topic and the related Subtopics is to present incremental accounting principles specifically related to construction contractors.

15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

- i General Note for Financial Instruments:** Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

- 910-10-15-1** The Subtopics within the Contractors—Construction Topic only provide incremental industry-specific guidance for the entities defined in this Scope Section, or as further defined in the Scope Sections of the individual Subtopics. Entities within the scope of this Topic shall also comply with the applicable standards not included in this Topic.

> Entities

- 910-10-15-2** The Contractor Accounting—Construction Contractors Topic provides guidance for entities that perform construction-type contracts.
- 910-10-15-3** Although the construction industry is difficult to define because of its diversity, certain characteristics are common to entities in the industry. The most basic characteristic is that work is performed under contractual arrangements with customers. A contractor, regardless of the type of construction activity or the type of contractor, typically enters into an agreement with a customer to build or to make improvements on a tangible property to the customer's specification. The contract with the customer specifies the work to be performed, specifies the basis of determining the amount and terms of payment of the contract price, and generally requires total performance before the contractor's obligation is discharged. Unlike the work of many manufacturers, the construction activities of a contractor are usually performed at job sites owned by customers rather than at a central place of business, and each contract usually involves the production of a unique property rather than repetitive production of identical products.
- 910-10-15-4** Other characteristics common to contractors and significant to accountants and users of financial statements include the following:
- A contractor normally obtains the contracts that generate revenue or sales by bidding or negotiating for specific projects.
 - A contractor bids for or negotiates the initial contract price based on an estimate of the cost to complete the project and the desired profit margin, although the initial price may be changed or renegotiated.
 - A contractor may be exposed to significant risks in the performance of a contract, particularly a fixed-price contract.
 - Customers (usually referred to as owners) frequently require a contractor to post a performance and a payment bond as protection against the contractor's failure to meet performance and payment requirements.
 - The costs and revenues of a contractor are typically accumulated and accounted for by individual contracts or contract commitments extending beyond one accounting period, which complicates the management, accounting, and auditing processes.
 - The nature of a contractor's risk exposure varies with the type of contract. The several types of contracts used in the construction industry are described in paragraphs [605-35-15-2 through 15-5](#). The four basic types of contracts used based on their pricing arrangements are [fixed-price](#) or [lump-sum contracts](#), [unit-price contracts](#), [cost-type contracts](#), and [time-and-materials contracts](#).

20 Glossary

i General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Contract

An agreement between two or more parties that creates enforceable rights and obligations.

Cost-Plus-Award-Fee Contract

A contract under which the contractor is reimbursed for costs plus a fee consisting of two parts: a fixed amount that does not vary with performance and an award amount based on performance in areas such as quality, timeliness, ingenuity, and cost-effectiveness. The amount of award fee is based on a subjective evaluation of the contractor's performance judged in light of criteria set forth in the contract.

Cost-Plus-Fixed-Fee Contract

A contract under which the contractor is reimbursed for costs plus the provision for a fixed fee.

Cost-Plus-Incentive-Fee Contract (Incentive Based on Cost)

A contract under which the contractor is reimbursed for costs plus a fee which is adjusted by formula in accordance with the relationship which total allowable costs bear to target cost. At the outset there is negotiated a target cost, a target fee, a minimum and maximum fee, and the adjustment formula.

Cost-Plus-Incentive-Fee Contract (Incentive Based on Performance)

A contract under which a contractor is reimbursed for costs plus an incentive to surpass stated performance targets by providing for increases in the fee to the extent that such targets are surpassed and for decreases to the extent that such targets are not met.

Cost-Sharing Contract

A contract under which the contractor is reimbursed only for an agreed portion of costs and under which no provision is made for a fee.

Cost-Type Contracts

Contracts that provide for reimbursement of allowable or otherwise defined costs incurred plus a fee that represents profit. Cost-type contracts usually only require that the contractor use his best efforts to accomplish the scope of the work within some specified time and some stated dollar limitation. See also the following common variations of cost-plus contracts:

- a. [Cost-Plus-Award-Fee Contract](#)
- b. [Cost-Plus-Fixed-Fee Contract](#)
- c. [Cost-Plus-Incentive-Fee Contract \(Incentive Based on Cost\)](#)
- d. [Cost-Plus-Incentive-Fee Contract \(Incentive Based on Performance\)](#)
- e. [Cost-Sharing Contract](#)
- f. [Cost-Without-Fee Contract](#).

Cost-Without-Fee Contract

A contract under which the contractor is reimbursed for costs with no provision for a fee.

Firm Fixed-Price Contract

A contract in which the price is not subject to any adjustment by reason of the cost experience of the contractor or his performance under the contract.

Fixed-Price Contract Providing for Firm Target Cost Incentives

A contract that provides at the outset for a firm target cost, a firm target profit, a price ceiling (but not a profit ceiling or floor), and a formula (based on the relationship that final negotiated total cost bears to total target cost) for establishing final profit and price.

Fixed-Price Contract Providing for Performance Incentives

A contract that incorporates an incentive to the contractor to surpass stated performance targets by providing for increases in the profit to the extent that such targets are surpassed and for decreases to the extent that such targets are not met.

Fixed-Price Contract Providing for Prospective Periodic Redetermination of Price

A contract that provides a firm fixed-price for an initial number of unit deliveries or for an initial period of performance and for prospective price redeterminations either upward or downward at stated intervals during the remaining period of performance under the contract.

Fixed-Price Contract Providing for Retroactive Redetermination of Price

A contract that provides for a ceiling price and retroactive price redetermination (within the ceiling price) after the completion of the contract, based on costs incurred, with consideration being given to management ingenuity and effectiveness during performance.

Fixed-Price Contract Providing for Successive Target Cost Incentives

A contract that provides at the outset for an initial target cost, an initial target profit, a price ceiling, a formula for subsequently fixing the firm target profit (within a ceiling and a floor established along with the formula, at the outset), and a production point at which the formula will be applied.

Fixed-Price Level-of-Effort Term Contract

A contract that usually calls for investigation or study in a specific research and development area. It obligates the contractor to devote a specified level of effort over a stated period of time for a fixed dollar amount.

Fixed-Price Contract with Economic Price Adjustment

A contract that provides for upward or downward revision of contract price upon the occurrence of specifically defined contingencies, such as increases or decreases in material prices or labor wage rates.

Fixed-Price Contracts

A fixed-price or lump-sum contract is a contract in which the price is not usually subject to adjustment because of costs incurred by the contractor. See also the following common variations of fixed-price contracts:

- a. [Firm Fixed-Price Contract](#)
- b. [Fixed-Price Contract with Economic Price Adjustment](#)
- c. [Fixed-Price Contract Providing for Prospective Periodic Redetermination of Price](#)
- d. [Fixed-Price Contract Providing for Retroactive Redetermination of Price](#)

- e. [Fixed-Price Contract Providing for Firm Target Cost Incentives](#)
- f. [Fixed-Price Contract Providing for Successive Target Cost Incentives](#)
- g. [Fixed-Price Contract Providing for Performance Incentives](#)
- h. [Fixed-Price Level-of-Effort Term Contract](#).

Lump-Sum Contract

See [Fixed-Price Contracts](#).

Revenue

Inflows or other enhancements of assets of an entity or settlements of its liabilities (or a combination of both) from delivering or producing goods, rendering services, or other activities that constitute the entity's ongoing major or central operations.

Time-and-Material Contracts

Contracts that generally provide for payments to the contractor on the basis of direct labor hours at fixed hourly rates (that cover the cost of direct labor and indirect expenses and profit) and cost of materials or other specified costs. Common variations of time and material contracts areas follows:

- a. Time at marked-up rate
- b. Time at marked-up rate, material at cost
- c. Time and material at marked-up rates
- d. Guaranteed maximum cost—labor only or labor and material.

Unit-Price Contracts

Contracts under which the contractor is paid a specified amount for every unit of work performed. A unit-price contract is essentially a fixed-price contract with the only variable being units of work performed. Variations in unit-price contracts include the same type of variations as fixed-price contracts. A unit-price contract is normally awarded on the basis of a total price that is the sum of the product of the specified units and unit prices. The method of determining total contract price may give rise to unbalanced unit prices because units to be delivered early in the contract may be assigned higher unit prices than those to be delivered as the work under the contract progresses.

35 Subsequent Measurement

i General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Small Tools

- 910-10-35-1** Depreciation of small tools carried in fixed assets may be charged to overhead or to specific contracts. See paragraph [910-20-25-4](#) for recognition guidance on small tools.

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Receivables

- 910-10-45-1** The portion of retainages not collectible within one year, or within the operating cycle if it is longer than one year, shall be classified as noncurrent in a classified balance sheet.

- 910-10-45-2** Paragraph superseded by Accounting Standards Update No. 2014-09.

- 910-10-45-3** Paragraph superseded by Accounting Standards Update No. 2014-09.

> Consolidation—Investment in an Unincorporated Legal Entity

- 910-10-45-4** Paragraph [810-10-45-14](#) explains that a proportionate gross financial statement presentation is not appropriate for an investment in an unincorporated legal entity accounted for by the equity method of accounting unless the investee is in either the construction industry (as discussed in this Topic) or an extractive industry (see paragraphs [930-810-45-1](#) and [932-810-45-1](#)).

50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

910-10-50-1 This Subtopic provides guidance on disclosures specific to the construction industry.

> Accounting Policies

910-10-50-2 Construction contractors shall follow the general disclosure requirements of Subtopic [235-10](#). Significant accounting policy disclosures relating to construction contractors include both of the following:

- a. Information relating to the method of reporting by affiliated entities shall be disclosed.
- b. If the operating cycle exceeds one year, the range of contract durations shall be disclosed.

> Liquidity Characteristics

910-10-50-3 An entity shall disclose liquidity characteristics of specific assets and liabilities if either of the following conditions is met:

- a. The entity's operating cycle exceeds one year.
- b. The entity uses an unclassified balance sheet.

> Receivables

910-10-50-4 Paragraph superseded by Accounting Standards Update No. 2014-09.

910-10-50-5 Paragraph superseded by Accounting Standards Update No. 2014-09.

910-10-50-6 Both of the following shall be disclosed for receivable amounts maturing after one year:

- a. The amount maturing after one year and, if practicable, the amounts maturing in each year
- b. Interest rates on major receivable items, or on classes of receivables, maturing after one year or an indication of the average interest rate or the range of rates on all receivables.

910-10-50-7 If receivables include amounts representing balances billed but not paid by customers under contract retainage provisions, a contractor shall disclose, either in the balance sheet or in a note to financial statements, all of the following:

- a. The amounts
- b. The portion, if any, expected to be collected after one year
- c. If practicable, the years in which the amounts are expected to be collected.

60 Relationships

i General Note:The Relationships Section contains links to guidance that may be helpful to, but not required by, a user of the Subtopic. This Section may not be all-inclusive. The relationship items are organized according to the Topic structure in the Codification.

General

> Revenue Recognition

910-10-60-1 For guidance on accounting for [revenue](#) recognition of construction-type [contracts](#), see Topic [606](#).

910 Contractors—Construction

20 Contract Costs

00 Status

i General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

910-20-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	910-20-25-4	Amended	Maintenance Update 2019-01 	01/08/2019
	910-20-25-5	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	910-20-60-1	Superseded	Maintenance Update 2019-01 	01/08/2019

05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

910-20-05-1 This Subtopic addresses accounting for contract costs by construction contractors.

15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

910-20-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [910-10-15](#).

25 Recognition

- i General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Operating Unit Cost for Construction Equipment

- 910-20-25-1** Operating unit costs for construction equipment may be included in contract cost using the use rate theory.
- 910-20-25-2** A rate may be arrived at, which, based on the reported use of the equipment, will serve as a basis for charging the contracts on which the equipment is used. The cost of a contractor's equipment shall be allocated to the particular contract on which it is used on a reasonable basis, such as time, hours of use, or mileage.
- 910-20-25-3** Idle equipment time, for example if a contractor's equipment is idle during a winter season, may be considered in determining indirect cost allocations. Allocation of idle equipment costs to contracts by use of rates geared to cover all costs is appropriate. That procedure results in rates that lessors of the same type of equipment charge users in the same location, except for the profit element.

> Small Tools

- 910-20-25-4** Small tools may be accounted for as inventory or fixed assets. Small tools shall be charged to a contract as they are consumed in performance of the contract. Operating and maintenance costs of miscellaneous small tools and equipment are usually charged to overhead accounts rather than specific contracts. However, a contractor may charge the costs directly to specific contracts if they relate to specific contracts. Small tools can frequently be charged to contracts if purchased for the contracts or if issued from a central pool. Contract costs shall be credited with estimated salvage value of small tools remaining at completion of the contracts.
- 910-20-25-5** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

30 Initial Measurement

 **General Note:** The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

> Operating Unit Cost for Construction Equipment

- 910-20-30-1** In applying the use rate theory (see paragraph [910-20-25-1](#)), all of the following factors shall be considered:
- The cost of the equipment, less estimates of its salvage value or rental if it is leased
 - The probable life of the equipment
 - The average idle time during the life or period of hire of the equipment

- d. The costs of operating the equipment, such as repairs, storage, insurance, and taxes.

50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

910-20-50-1

Both of the following amounts included in contract costs shall be disclosed:

- a. The aggregate amount included in contract costs representing unapproved change orders, claims, or similar items subject to uncertainty concerning their determination or ultimate realization, plus a description of the nature and status of the principal items comprising such aggregate amounts and the basis on which such items are recorded (for example, cost or realizable value)
- b. The amount of progress payments netted against contract costs at the date of the balance sheet.

60 Relationships

General Note: The Relationships Section contains links to guidance that may be helpful to, but not required by, a user of the Subtopic. This Section may not be all-inclusive. The relationship items are organized according to the Topic structure in the Codification.

General

910-20-60-1

[Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

910 Contractors—Construction

235 Notes to Financial Statements

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

910-235-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
910-235-05-1	Superseded	Maintenance Update No. 2019-01	01/08/2019
910-235-15-1	Superseded	Maintenance Update No. 2019-01	01/08/2019
910-235-50-1	Superseded	Maintenance Update No. 2019-01	01/08/2019
910-235-50-2	Superseded	Maintenance Update No. 2019-01	01/08/2019

05 Overview and Background

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General

910-235-05-1 [Paragraph superseded by Maintenance Update No. 2019-01.](#)

15 Scope and Scope Exceptions

General Note:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

910-235-15-1 [Paragraph superseded by Maintenance Update No. 2019-01.](#)

50 Disclosure

i General Note:The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

910-235-50-1 [Paragraph superseded by Maintenance Update No. 2019-01.](#)

910-235-50-2 [Paragraph superseded by Maintenance Update No. 2019-01.](#)

910 Contractors—Construction
310 Receivables

00 Status

i General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

910-310-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
910-310-05-1	Superseded	Maintenance Update No. 2019-01 	01/08/2019
910-310-15-1	Superseded	Maintenance Update No. 2019-01 	01/08/2019
910-310-45-1	Superseded	Maintenance Update No. 2019-01 	01/08/2019

910-310-45-2	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
910-310-50-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
910-310-50-2	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
910-310-50-3	Superseded	Maintenance Update No. 2019-01 	01/08/2019
910-310-50-4	Superseded	Maintenance Update No. 2019-01 	01/08/2019

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

910-310-05-1 [Paragraph superseded by Maintenance Update No. 2019-01.](#)

15 Scope and Scope Exceptions

General Note:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note for Financial Instruments:Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

910-310-15-1 [Paragraph superseded by Maintenance Update No. 2019-01.](#)

45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

910-310-45-1 [Paragraph superseded by Maintenance Update No. 2019-01.](#)

910-310-45-2 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

910-310-50-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

910-310-50-2 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

910-310-50-3 [Paragraph superseded by Maintenance Update No. 2019-01.](#)

910-310-50-4 [Paragraph superseded by Maintenance Update No. 2019-01.](#)

910 Contractors—Construction

330 Inventory

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

910-330-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	910-330-05-1	Superseded	Maintenance Update No. 2019-01 	01/08/2019
	910-330-15-1	Superseded	Maintenance Update No. 2019-01 	01/08/2019
	910-330-25-1	Superseded	Maintenance Update No. 2019-01 	01/08/2019
	910-330-40-1	Superseded	Maintenance Update No. 2019-01 	01/08/2019

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

910-330-05-1 [Paragraph superseded by Maintenance Update No. 2019-01.](#)

15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

910-330-15-1 [Paragraph superseded by Maintenance Update No. 2019-01.](#)

25 Recognition

- i General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

910-330-25-1 [Paragraph superseded by Maintenance Update No. 2019-01.](#)

40 Derecognition

- i General Note:** The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

General

910-330-40-1 [Paragraph superseded by Maintenance Update No. 2019-01.](#)

910 Contractors—Construction

340 Other Assets and Deferred Costs

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

910-340-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	910-340-05-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	910-340-15-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	910-340-50-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

910-340-05-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

910-340-15-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

50 Disclosure

- i General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

910-340-50-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

910 Contractors—Construction

360 Property, Plant, and Equipment

00 Status

- i General Note:** The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

910-360-00-1

The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
910-360-05-1	Superseded	Maintenance Update No. 2019-01 	01/08/2019
910-360-15-1	Superseded	Maintenance Update No. 2019-01 	01/08/2019
910-360-25-1	Superseded	Maintenance Update No. 2019-01 	01/08/2019
910-360-35-1	Superseded	Maintenance Update No. 2019-01 	01/08/2019

05 Overview and Background

 **General Note:**The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

910-360-05-1 [Paragraph superseded by Maintenance Update No. 2019-01.](#)

15 Scope and Scope Exceptions

 **General Note:**The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

910-360-15-1 [Paragraph superseded by Maintenance Update No. 2019-01.](#)

25 Recognition

- i General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

910-360-25-1 [Paragraph superseded by Maintenance Update No. 2019-01.](#)

35 Subsequent Measurement

- i General Note:** The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

910-360-35-1 [Paragraph superseded by Maintenance Update No. 2019-01.](#)

910 Contractors—Construction 405 Liabilities

00 Status

- i General Note:** The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

910-405-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
910-405-05-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
910-405-15-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
910-405-45-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
910-405-45-2	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
910-405-50-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
910-405-50-2	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

910-405-05-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

15 Scope and Scope Exceptions

General Note:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note for Financial Instruments:Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure

requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

910-405-15-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

910-405-45-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

910-405-45-2 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

910-405-50-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

910-405-50-2 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

910 Contractors—Construction

605 Revenue Recognition

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

910-605-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	910-605-05-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	910-605-15-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	910-605-25-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	910-605-50-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	910-605-50-2	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

910-605-05-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

- i General Note for Financial Instruments:** Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

910-605-15-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

25 Recognition

- i General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

- i General Note for Fair Value Option:** Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

910-605-25-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

910-605-50-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

910-605-50-2 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

910 Contractors—Construction 810 Consolidation

05 Overview and Background

i General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

910-810-05-1 This Subtopic provides guidance on consolidation by a construction contractor.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

910-810-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [910-10-15](#).

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

910-810-45-1 Paragraph [810-10-45-14](#) explains that a proportionate gross financial statement presentation is not appropriate for an investment in an unincorporated legal entity accounted for by the equity method of accounting unless the investee is in either the construction industry (as discussed in this Topic) or an extractive industry (see paragraphs [930-810-45-1](#) and [932-810-45-1](#)).